

Meridian Small Business Property & Interruption Policy

Policy Wording v4.0 · Sample document for testing only

Section 1 — Policy Period and Insured Premises

1.1 Cover applies to the business premises shown on the schedule, and to the business contents, stock and equipment owned by the insured business or for which it is responsible, for a 12-month policy period.

1.2 The insured business must have an annual turnover below 2,000,000 and no more than 25 employees at any one premises.

1.3 Policy numbers for this product are in the format BP-XXXXXXX (e.g. BP-9106340).

1.4 Business interruption cover is subject to the indemnity period shown on the schedule, being 12 months unless otherwise stated.

Section 2 — Covered Perils

2.1 Fire, smoke, lightning, explosion and earthquake.

2.2 Storm, flood and escape of water from any fixed water, heating or sprinkler installation.

2.3 Theft or attempted theft involving forcible and violent entry to or exit from the premises, and hold-up or robbery of money within the premises.

2.4 Riot, civil commotion, malicious damage and vandalism.

2.5 Impact by vehicle, aircraft or falling trees; collapse of aerials and satellite dishes.

2.6 Accidental damage to fixed glass, signs and shop fronts.

2.7 Deterioration of refrigerated stock following breakdown of refrigeration equipment or failure of the public electricity supply for more than 4 hours.

2.8 Business interruption: loss of gross profit and increased cost of working resulting from an insured peril under 2.1 to 2.7 damaging the premises or contents.

2.9 Denial of access: loss of gross profit where access to the premises is prevented for more than 24 hours by damage to neighbouring property or by order of a public authority following an insured peril within 1 kilometre.

Section 3 — Exclusions

3.1 Theft not involving forcible and violent entry or exit, including theft by employees, and theft from any part of the premises open to the public unless by hold-up.

3.2 Theft of stock or contents from vehicles, or from the open yard, unless secured in a locked steel container.

3.3 Loss or damage occurring while the premises have been unoccupied for more than 30 consecutive days, unless the insurer has been notified and agreed continued cover in writing.

3.4 Gradual deterioration, wear and tear, rust, corrosion, mould, wet or dry rot, and defective design or workmanship.

3.5 Electrical or mechanical breakdown of any machine, other than as provided under 2.7 for refrigerated stock.

3.6 Loss of money exceeding 1,000 in the premises outside business hours unless held in a locked safe, and money in transit exceeding 2,500 per carrying.

3.7 Business interruption losses arising from failure of utilities, telecommunications or internet services except as provided under 2.7.

3.8 Losses arising from notifiable disease, pollution, contamination, terrorism or war.

3.9 Fines, penalties, liquidated damages or contractual penalties incurred by the insured business.

Section 4 — Deductible (Excess)

4.1 A standard excess of 500 applies to each property damage claim.

4.2 An escape-of-water excess of 1,000 applies to each claim under 2.2 involving water escaping from installations.

4.3 A theft excess of 750 applies to each theft claim.

4.4 A time excess of 48 hours applies to business interruption claims; no gross profit is payable for the first 48 hours of interruption.

4.5 A subsidence, heave and landslip excess of 2,500 applies where that cover is shown on the schedule.

Section 5 — Limits and Sub-limits

5.1 Buildings, contents and stock sums insured are stated on the schedule. If at the time of loss the sum insured is less than 85% of the full reinstatement value, the claim is reduced proportionately (average).

5.2 Seasonal stock increase: stock sum insured increases by 25% during November and December and for 30 days before any religious festival.

5.3 Money on the premises during business hours: 3,000; in a locked safe outside business hours: 5,000; in transit: 2,500.

5.4 Refrigerated stock: sub-limit 2,500 per claim.

5.5 Glass, signs and shop fronts: sub-limit 5,000 per claim.

5.6 Business interruption: gross profit up to the sum insured on the schedule for the indemnity period; denial of access sub-limit 25,000 or 10% of the gross profit sum insured, whichever is less.

5.7 Loss of documents and computer records: sub-limit 10,000 for the cost of re-creation.

5.8 Tenant's improvements: 10% of the contents sum insured where the insured business is a tenant.

Section 6 — Claim Conditions

6.1 Incidents must be notified to the insurer within 7 days of occurrence or discovery.

6.2 Theft, attempted theft, hold-up, riot and malicious damage must be reported to the police within 24 hours and a crime reference supplied.

6.3 The insured must maintain and produce on request stock records, purchase invoices, sales records and audited or management accounts for the 3 years before the loss.

6.4 Business interruption claims must be supported by monthly turnover figures for the 12 months before the loss and for the indemnity period, and by evidence of increased costs incurred.

6.5 Property damage claims above 5,000 will be inspected by a loss adjuster appointed by the insurer before any repair or replacement is authorised; the insured must retain damaged items for inspection.

6.6 The insured must comply with the security conditions on the schedule: intruder alarm maintained and set outside business hours, and all external doors fitted with the specified locks. Failure to comply voids theft cover.

6.7 Settlement of buildings and contents is on a reinstatement basis; stock is settled at cost price or net realisable value, whichever is lower.

6.8 Claims for refrigerated stock require a refrigeration engineer's report or confirmation from the electricity supplier of the outage duration.

Section 7 — Fraud

7.1 If any claim is fraudulent or exaggerated, or if any false declaration, invoice or record is supplied in support of a claim, all benefit under this policy is forfeited and the policy is cancelled from the date of the fraudulent act.

This is fictitious sample policy wording generated for software testing. It is not a contract of insurance.